

MANAGEMENT REVIEW

Management without theatre.

OPERATIONS

THE EIGHT WASTES OF LEAN

Ohno's seven wastes, the eighth that came later, five principles, and a walk to find them in your own operation.



3 h

of value-creating work in the 319 days it took a cola can to reach a buyer.

WOMACK & JONES, 1996

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Most of the time a product or a request spends in a process, nobody is working on it. It waits, it is moved, it is checked again. This issue is about seeing that time, and about the names Lean gives to it.

Taiichi Ohno, who shaped the Toyota Production System, described seven kinds of waste. Later an eighth was added: the talent of the people that is not used. James Womack and Daniel Jones turned the ideas into five principles in 1996. None of it needs a factory. A warehouse, a delivery route or a hotel reception has the same wastes under other names.

Stiven Janaqi EDITOR · STIVEN CATALYST

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HOW TO READ THIS ISSUE

Figure

Every figure has its source and year at the foot of its page.

Our reading

Where the editors interpret rather than the research, it says so.

Practice

The steps and the card are proposals to try, not research results.

COVER STORY

319 days for a cola can

In Lean Thinking, Womack and Jones traced a simple product: a can of cola. It took 319 days, nine facilities, six companies and four countries to reach a buyer.

THE COLA CAN, ONE SQUARE FOR EACH DAY

319 days

from the raw material to the buyer

3 hours

of value-creating work: one eighth of the last square

The rest was storage, transport, inspection and rework: steps that create no value for the person who drinks from the can. The can is an extreme case, but the shape is common: a long wait around a short piece of real work.

OUR READING

Before making the work faster, look at the time when no one is working. That is usually where most of the time goes.

Source: James P. Womack & Daniel T. Jones, 1996 (via Lean Enterprise Institute, Seeing the Whole)

THE MODEL

Seven wastes, and an eighth

The first seven are the ones Ohno described. The eighth was added later; Toyota itself still counts seven.

01	Overproduction	Making more, or earlier, than needed. The worst, because it feeds the others.
02	Waiting	People or machines waiting for material, information or a decision.
03	Transport	Moving material or information more than the work needs.
04	Over-processing	More work than the customer needs or will pay for.
05	Inventory	Material, work in progress or products beyond what is needed now.
06	Motion	Walking, reaching and searching that the task does not need.
07	Defects	Errors that must be corrected, reworked or thrown away.
08	Unused talent	Ideas, skills and knowledge of the people that nobody asks for.

OUR READING

The eighth is the one a manager controls most directly. The people who do the work usually see the other seven first.

Sources: Taiichi Ohno, 1988; Lean Enterprise Institute, 2014; Lean Enterprise Institute, The Lean Post, 2020; Jeffrey K. Liker, 2004

THE PRINCIPLES

Five steps of Lean thinking

Womack and Jones summed up Lean as a sequence. Each step starts from the customer, not from the machine or the department.

01 Value What does the customer really pay for?	02 Value stream Every step the product or request goes through.	03 Flow The steps that add value follow each other without stops.	04 Pull Make only what the next step or the customer asks for.	05 Perfection Start again: there is always more waste to find.
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HYPOTHETICAL EXAMPLE, A HOTEL ROOM BETWEEN TWO GUESTS

Value	A clean room, ready when the next guest arrives.
Value stream	Check-out, cleaning, inspection, room marked ready. Note how long the room waits between steps.
Flow	Each room is cleaned as soon as the guest leaves, not all of them after noon.
Pull	The arrivals list sets the order: the rooms needed first are cleaned first.
Perfection	Each week one cause of delay is removed, such as linen missing from the cart.

An illustration by the editors, not the case of a company.

1978 Ohno's book on the Toyota system appears in Japan.	1988 English edition. John Krafcik's article names "lean production".	1990 The Machine That Changed the World: 90 plants in 17 countries.	1996 Lean Thinking: the five principles.
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Sources: James P. Womack & Daniel T. Jones, 1996 (via Lean Enterprise Institute, Seeing the Whole); Taiichi Ohno, 1988; John F. Krafcik, Sloan Management Review, 1988; James P. Womack, Daniel T. Jones & Daniel Roos, 1990

BEYOND THE FACTORY

The same wastes, other names

Three settings, a few examples each. They are illustrations, not cases from a particular company: the point is to recognise the pattern in your own work.

Warehouse

- 01** Picking orders long before the truck is planned
- 06** Walking to a far shelf for the fastest item
- 07** Parcels loaded without the last item

Last mile

- 02** Drivers waiting at the gate for loading
- 03** A parcel driven twice because the address was unclear
- 05** Returns piling up until the end of the week

Hotel

- 04** The same guest data typed into two systems
- 02** A guest waiting for a room that is clean but not released
- 08** A fix from the night receptionist that nobody asks about

Three questions to find it

1. Where does the work wait, and for how long?
2. What is written, counted or checked twice?
3. What does someone search for every day, because it has no fixed place?

OUR READING

A waste that everyone sees every day has usually stopped being seen as a waste. It has become “the way we work”.

The examples are illustrations by the editors; the numbers refer to the wastes on page 4.

More in the essay

Pareto and 5 Why in practice, not in PowerPoint

HOW IT IS MEASURED

How much of the time creates value?

Divide the time spent on value-creating work by the total time from request to delivery. For the cola can, three hours out of 319 days is about 0.04%.

1

Follow one item

One order, one request, one room, from the moment it is asked for to the moment it is delivered.

2

Write down every step and its time

Including the time it waits between steps.

3

Mark the value

Would the customer pay for this step if they saw it? If not, it is one of the eight.

4

Start with the biggest wait

Not with the step that is easiest to speed up.

HYPOTHETICAL EXAMPLE, ONE ORDER IN A WAREHOUSE

The order arrives on Monday at 9:00 and is delivered on Wednesday at 15:00: 54 hours. The work that creates value, picking, packing and loading, takes 40 minutes: about 1.2%. The biggest wait is the first night in the queue. The numbers are invented.

OUR READING

Lean calls overproduction the worst waste because it hides the others: when there is always stock, nobody sees the waiting, the defects or the extra moves behind it.

Sources: James P. Womack & Daniel T. Jones, 1996 (via Lean Enterprise Institute, Seeing the Whole); Lean Enterprise Institute, 2014

The 0.04% is the editors' calculation from the figures of Womack and Jones. The four steps are a practice proposed by the editors.

TOOL OF THE ISSUE

The waste walk card

Thirty minutes on the floor, with the people who do the work. One line for each waste: what you saw, where, and how often.

01 Overproduction made before anyone asked?

02 Waiting who waits for what?

03 Transport what is moved more than once?

04 Over-processing which step would the customer not pay for?

05 Inventory what piles up, and where?

06 Motion who walks or searches without need?

07 Defects what is done twice?

08 Unused talent which idea from the team is waiting for an answer?

A practice proposed by the editors. Note what you see, not who did it.

Open the tool: [Pareto 80/20](#)

stivencatalyst.com/tools/pareto/

SOURCES AND METHOD

Every figure has a source.

The figures in this issue come from the sources below. The year shows how recent each one is.

Lean Thinking

James P. Womack & Daniel T. Jones, 1996 ·
via Lean Enterprise Institute, Seeing the
Whole

<https://www.lean.org/wp-content/uploads/2021/01/seeing-the-whole-introduction.pdf>

Toyota Production System: Beyond Large-Scale Production

Taiichi Ohno, 1988

Lean Lexicon: seven wastes

Lean Enterprise Institute, 2014

<https://www.lean.org/lexicon-terms/seven-wastes/>

The Eight Wastes of Lean

Lean Enterprise Institute, The Lean Post, 2020

<https://www.lean.org/the-lean-post/articles/the-eight-wastes-of-lean/>

The Toyota Way

Jeffrey K. Liker, 2004

Triumph of the Lean Production System

John F. Krafcik, Sloan Management Review, 1988

The Machine That Changed the World

James P. Womack, Daniel T. Jones & Daniel
Roos, 1990

EDITORIAL METHOD

Each figure was checked for its year, its publisher and what exactly it measures. Where the publisher's page could not be opened, the figure was checked against independent summaries and is marked “via”. The editors' interpretation is marked “Our reading”. Figures that could not be confirmed are not in the issue.



MANAGEMENT REVIEW

Management without theatre.

Every issue, one management question, checked against the best research.

ALL ISSUES

stivencatalyst.com/magazine/management-review.html